

TRADECOACH

B U S I N E S S C O A C H I N G



PROPERTY FOR DUMMIES

P D F W O R K S H E E T

PROPERTY FOR DUMMIES

I don't class myself as a qualified property investor to give advice on this particular industry, nevertheless I don't think 80% of the so-called Guru's out there are either therefore I want to explain to you how I went from zero properties to £1.7m of properties in less than 5 years... I was a property dummy not so long ago and really I didn't know where to start....

With a poor credit rating I knew I would require more deposit than the average borrower so I set about fixing all of this and here's how I done it.....

It will be easier to tell you my story than to teach in this instance.



Credit Rating

The first thing you want to do is download 'Clearscore' app on your mobile device and ascertain where your credit rating sits. Experian is better but is paid for unlike clear score which is free.

Bad Credit?

In around 2 years my Credit Score went from 278 to 999 - yes 999 simply by following these simple steps:

- ◆ Ensure you are on the voters role
- ◆ Pay off or set up DD to begin paying off debt
- ◆ Ensure you are on the voters role
- ◆ If possible apply for a credit card and USE IT but remember to pay it off every month (this builds your credit rating)
- ◆ Do not miss **any** repayments going forward.
- ◆ Once your credit score improves (or now if it's good already) get a credit card - use it a LOT and pay it off every single month without fail, shopping, online everything but ensure you pay it off - do not forget!

Profit First

You should by now be putting funds into your Profit First account. This was exactly my strategy and each month I ensured the right amount of funds were being put in. I set a figure goal to the end of the year (£100k) but this target could be as little as 10k.

Large Deposits

With £100k deposit (from profit first account) I knew that even with a poor credit rating (albeit an improving one) that any bank would take me seriously. With £100k (anything more than 10% of purchase price would help) I started looking for property. This saved me waiting longer for my credit score to improve dramatically.

Property

For me personally I wasn't interested in HMO, or approaching investors or even spending weeks and months trying to locate "great deals" and unlike what the majority of the guru's teach you I had no care to approach estate agents asking them for 'motivated buyers' - This seemed like such a waste of time to me. I merely searched Right Move for deals in my area which seemed good

****it's worth changing your search to 'longest listed' if you are looking for below value deals****

I found a property at offers over £200,000 - We loved it so went in at £221,151 - We got the property. This house was a fairly new build repossession which we spent around £20k renovating with own funds from profit first. We got it revalued at £280,000 one year later.

With a value of £280,000 and a mortgage of only £121,000 we now had **£159,000 equity** in that house so we went looking for a second property



2nd property

With £159,000 in equity this allowed us to remortgage that property to the tune of £90,000 which allowed us a deposit on another house not too far away at £310,000. If you buy a property and **add value** to it, this allows you to ask the bank to take money out the property towards the deposit for another property remembering that you now need 25% deposit as an additional purchase (2nd home) and sadly ADS (additional dwelling supplement)

ADS

Depending on the value of the 2nd property we must pay stamp duty at higher rate. This can hurt but it's still worthwhile. If you sell the property within 2 years you can claim this back.

Adding Value

The 2nd property we purchased had a home report of £325,000. We offered £310,000 and it was accepted. We added new kitchens and bathrooms through my contacts in the trades - house is now worth £400,000. £310,000 mortgage minus £90,000 deposit = £220,000 add £90,000 value added we now have £180,000 equity in the house meaning we can again approach the bank and ask for money out this house to buy another and repeat repeat repeat....



Rental

With such a low mortgage on property 1 even with the gok re-mortgaged we set our rent at £1,550 per month. This rental paid for **both** properties mortgages. Property 1 & 2.

Prot First Revisited

With my profit first account still rising during all of this and business growing and getting better and better with more profits I decided to pay off my mortgages. This is not the correct way to do this from a tax perspective but for me I wanted security and a full residual income.

We rented out property 2 and had a residual income of around £3,300 per month with no mortgage. All whilst the business was growing and profit first increasing.

The profits from profit first were still increasing and still going strong so we bought a property in Spain for 140,000 euros cash.

We held this (and had great great holidays) for 3-4 years and sold it for 220,000 euros and purchased another one at 400,000 euros cash (negotiated from 440,000) We continued to use our own funds to purchase smaller properties back home in Scotland however very soon we will begin extracting monies from the mortgage free properties to buy more once the interest rates post covid go down. August 2023

Despite what the 'Guru's' tell you interest rates and rising house prices ARE important as you will want to make a small profit each month from any rentals and also have the property value increasing during this rental period - win win!

Credit Rating

Taxes are a big part in all of this, for me personally someone once told me this and it always stuck with me

“If you are paying lots of taxes you are earning lots of money”

This stuck with me nevertheless I did not do any of the above as tax efficiently as I could have.



I could have opened a property company and paid slightly less tax however with the UK government making this increasingly more difficult we decided it really wasn't worth the effort - That does not mean it won't be for you.

Removing over £200,000 from Profit First meant big corporation and dividend taxes. In order to secure my future now I decided this was worthwhile. It was not the tax efficient way to do it.

This is a property for dummies PDF. I am not a tax accountant nor a property guru but this way has worked well for me and was really really simple to understand, implement and move forward.

I now have nearly £2m in property with little to no mortgages and now have the option to remove around £1.5m from these to put towards buying several more properties if I choose to when the market and the rates improve.

**** Remember you will pay tax on any rentals at your current tax rate ****

An intercompany loan can be a powerful tool for construction business owners who also operate a property company. It provides a legal and tax-efficient way to use surplus funds from your trades business to invest in property. Here's how it works and its benefits:



What is an Intercompany Loan?

An intercompany loan is a financial arrangement where one business entity loans money to another business entity within the same ownership or group structure. For trades business owners with both a construction company and a property investment company, this can be a strategic way to utilize excess funds.

Benefits of an Intercompany Loan

1. Efficient Use of Surplus Funds

- Instead of leaving surplus profits in the construction company where they may incur higher corporation tax or be taxed again if withdrawn personally (via dividends or salary), the funds can be loaned to the property company.
- This allows you to reinvest your profits into property purchases, potentially generating higher returns through rental income or property value appreciation.

2. Corporation Tax Savings

- By loaning funds to the property company, you avoid immediately withdrawing profits from the construction company as dividends or salary, which would attract income tax and possibly National Insurance.
- Instead, the funds remain within your business group, minimizing personal tax liabilities while maintaining control of the money.

Benefits of an Intercompany Loan

3. Interest Income for the Construction Company

- Instead of leaving surplus profits in the construction company where they may incur higher corporation tax or be taxed again if withdrawn personally (via dividends or salary), the funds can be loaned to the property company.
- This allows you to reinvest your profits into property purchases, potentially generating higher returns through rental income or property value appreciation.

4. Flexibility for Repayment

- Intercompany loans can be structured with flexible repayment terms, allowing the property company to repay the loan when rental income or property sales provide sufficient cash flow.
- This flexibility supports long-term investment strategies without placing undue financial pressure on the property company.

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6. Keeping Money Within the Business Structure

- By utilizing intercompany loans, the funds remain within your business ecosystem, giving you greater control over their use.
- This is particularly advantageous for business owners looking to reinvest in both construction and property sectors without drawing profits into personal accounts

6. Reduced Need for External Financing

- Intercompany loans reduce reliance on external financing, such as bank loans or mortgages, which may come with higher interest rates and additional fees.
- This can save money and streamline the process of acquiring new properties.

8. Tax Planning Opportunities

- An intercompany loan can form part of a broader tax-planning strategy, enabling you to balance profits and losses across your businesses.
- For example, interest paid by the property company reduces its taxable profit, while the income earned by the construction company can be offset against other allowable expenses.

Key Considerations

- Documentation: Ensure the loan is documented properly with clear terms, including repayment schedules and interest rates. This makes the transaction compliant with HMRC regulations.
- Commercial Terms: The loan should be on commercial terms (e.g., a reasonable interest rate) to avoid scrutiny from HMRC.
- Professional Advice: Consult with an accountant or tax advisor to ensure the loan structure complies with tax laws and maximizes benefits.

Example in Action

Imagine your construction business has £200,000 in post-tax profits. Instead of withdrawing this as dividends (and incurring additional personal tax), you loan the money to your property company. The property company uses the funds to purchase a rental property, generating rental income. The construction company charges 5% annual interest, creating £10,000 of income for the construction company while reducing the property company's taxable profits. Over time, both businesses benefit, and you've grown your wealth efficiently.

An intercompany loan is a smart financial tool that allows trades business owners to achieve their investment goals while minimizing tax liabilities. Properly implemented, it supports business growth, enhances financial efficiency, and preserves wealth.